JUDGMENT SHEET

IN THE ISLAMABAD HIGH COURT, ISLAMABAD

WRIT PETITION NO.4125 OF 2015

Mir Hussain and others
VS.
National Highway Authority and others

WRIT PETITION NO.185 OF 2016

Khudamuddin Khattak and others
VS.
Federation of Pakistan, National Highway Authority and others

WRIT PETITION NO.1329 OF 2016

Riaz Ahmed and others
VS.
Federation of Pakistan, National Highway Authority and others

WRIT PETITION NO.3134 OF 2017

Khudamuddin Khattak and others
VS.
Federation of Pakistan, National Highway Authority and others

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Petitioners by	:	**M/s Fiaz Ahmad Anjum Jandran, Khalid Mahmood Gothel, Tariq Muhammda Khan Marwat, and Muhammad Shahzad.**
Respondents by	:	**M/s Raheema Khan and Barrister Muhammad Hanan Alam, Advocates.** **M/s Imran Farooq and Raja Zamir Uddin Ahmed, AAGs.**
Date of Hearing	:	**12.11.2024.**

SAMAN RAFAT IMTIAZ, J.

1. By way of the instant judgment, I propose to decide all the above titled cases as similar questions of law and facts are involved.

2. The brief facts leading to the institution of the instant Petitions are that the Petitioners are employees of the National Highway Authority **("NHA")** who were extended benefit of up-gradation vide Office Order No. 3(11)Admn(P)/NHA/2011/1239 dated 28.12.2011 **("Up-gradation Order")** with effect from 3.11.2011. However, subsequently vide the Office Order No. 3(11)/Admn(P)/Up-Grd/NHA/16-121dated 14.1.2016 **("Impugned Order I")** the up-gradation was rescinded and the Petitioners were reverted to their previous basic pay scale.

W.P. No. 4125 of 2015.

3. The Petitioners in this petition submitted that the post of Computer Operator is in basic pay scale of BPS-16 as per the Pakistan Computer Bureau and SRO dated 1.7.1987 issued by the Cabinet Secretariat, Government of Pakistan and Officer Memorandum dated 21.7.1987 issued by the Finance Division Regulation Wing, Government of Pakistan yet the NHA has appointed/promoted the Petitioners to the post of Computer Operator at BPS-14 and only up-graded their posts in 2011 by way of the Up-gradation Order. Thus by way of the instant petition, the Petitioners sought direction to the Respondents to release the arrears and back benefits in accordance with BPS-16 from the date of their appointment or promotion, as the case may be.

W.P. No. 185 of 2016.

4. The Petitioners who are employees of audit and accounts cadres of NHA have challenged the Impugned Order whereby up-gradation awarded to the Petitioners was withdrawn and have sought direction to the NHA to implement, *inter alia,* the decision of the Executive Board of NHA in its meeting held on 25.9.2012.

W.P. No. 1329 of 2016.

5. The Petitioners who are employees of audit and accounts cadres of NHA have challenged the Impugned Order whereby up-gradation granted to the Petitioners was withdrawn and seek implementation of, *inter alia,*

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the Up-gradation Order whereby up-gradation was granted to the Petitioners.

W.P. No. 3134 of 2017.

6. The Petitioners who are also employees of audit and accounts cadres of NHA have challenged the Order dated 5.4.2013 **("Impugned Order II")** whereby request of the Petitioners for granting back benefits with effect from 12.09.2005 was turned down and have prayed for the grant of financial benefits by giving effect to their up-gradation from 12.09.2005. The Petitioners have also sought implementation of, *inter alia,* the decision of the Executive Board of NHA in its meeting held on 25.9.2012.

Arguments:

7. The learned counsel for the Petitioners in W.P. No. 3134 of 2017 argued that the Impugned Order I rescinding the Up-gradation Order has been passed without giving any notice to the Petitioners or affording them an opportunity of hearing and as such is against natural justice. He highlighted that the Impugned Order I has virtually rescinded judicial orders which cannot be done by an executive order. The Petitioner allege that the Respondents have discriminated against them as the up-gradation granted to other cadres along with time-scale promotion have not been withdrawn rather the said cadres were paid arrears for such up-gradation/promotion. He contended that on the other hand the Petitioners applied for arrears but they have been reprimanded by cancelation of their up-gradation. He submitted that the Petitioners are entitled to arrears and back benefits from the date of appointment as the respective posts have always been BPS-16 for all other Government Departments. The learned counsel submitted that according to Rule 2(iii) of the NHA Employees Service Rules in all matters not specifically provided for in these rules the rules applicable to the Federal Government Employees shall apply and as such argued that since the rules do not provide for up-gradation specifically it is the Federal Government Employees Rules regarding up-gradation which shall apply upon the NHA Employees as well and the same posts in all other Government Departments

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were up graded in 2005. He argued that the Federal Government had decided by way of its Order dated 24.8.2011 to grant benefit of up-gradation from 12.9.2005, which is applicable upon the Petitioners as well but which the Respondent is denying hence their claim of arrears from 2005 till 2011. The learned counsel has placed reliance in support of his arguments on *Qazi Abdul Jalil v. N.W.F.P. Forest Development Corporation through Chairman and others*, 2010 SCMR 1933; *Commissioner Inland Revenue v. Jahangir Khan Tareen*, 2022 SCMR 92; *Pir Imran Sajid v. Managing Director/General Manager (Manager Finance) Telephone Industries of Pakistan,* 2015 PLC (C.S.) 1487. The learned counsel finally argued that the same Impugned Order I was challenged before the Peshawar High Court vide Writ Petition No. 2458- P of 2022 which was allowed vide the Judgment dated 16.05.2023 and the up-gradation was restored. He further submitted that the matter has been settled by the Supreme Court vide Judgment dated 15.3.2010 whereby the Peshawar High Court's decision has been upheld.

8. The learned counsel for the Petitioners in W.P. No. 185 of 2016 has adopted the arguments advanced by the learned counsel for the Petitioners in W.P. No. 3134 of 2017 and has added that all actions done by the Respondents are illegal and may be declared null and void.

9. The learned counsel for the Petitioners in W.P. No. 1329 of 2016 has drawn the attention of this Court to Rules 3 and 4 contained in Chapter II of the National Highway Authority Employees Service Rules, 1995 **("NHA Employees Service Rules")** and argued that the same pay scale as applicable to the Federal Government employees is to be awarded to the employees of the NHA and that in this regard the Executive Board's decision dated 25.9.2012 was taken which was thereafter withdrawn vide the Impugned Order II dated 5.4.2013 with the result that the Petitioners have been deprived of arrears from 2005 till 2011.

10. The learned counsel for NHA submitted that the Judgment dated 22.1.2024 passed by the Supreme Court in *National Highway Authority vs. Ijaz Ahmad and other,* Civil Petition No. 488-P of 2023 whereby the

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decision of the Peshawar High Court striking down the Impugned Order I was upheld was passed by a two member Bench essentially by stating that the Court cannot correct mistake by Government Department whereas, a three member Bench of the Supreme Court of Pakistan in the case of *Government of the Punjab, Education Department vs. Muhammad Imran and others,* 2019 SCMR 643 has already held that the principle of *locus poenitentiae* does not apply to illegal orders and no perpetual rights can be gained on the basis of illegal orders. The learned counsel relied upon the Up-gradation Order whereby up-gradation was to take effect from 3.11.2011 and as such submitted that the Petitioners are not entitled to any back benefits from 2005. She has relied upon Rule 10 of the NHA Employees Service Rules which provide that financial benefits of a post shall be admissible to an employee with effect from the date he actually assumes charge of the post. She submitted that the Petitioners have not assumed the charge of the post in BPS-16 from 2005 therefore they are not entitled to arrears or back benefits since 2005. With regard to Circular dated 7.4.2012 whereby deputationists have been held entitled to arrears of pay and allowances as per Government Rules, she submitted that since the deputationists are employees of lending departments the up-gradation of their posts has not been carried out by NHA under its rules rather it is the lending departments' rules that will apply to their up-gradation. Furthermore, any arrears regarding their up-gradation would not come from NHA as NHA is only be liable for their pay and allowances for the period of their deputation.

11. Arguments advanced by the learned counsel for the parties have been heard and the record has been examined.

12. It is an admitted fact that the Impugned Order I was struck down by the Peshawar High Court vide the Judgment dated 16.5.2023 which Judgment has been upheld by the Supreme Court of Pakistan in *National Highway Authority vs. Ijaz Ahmad and other,* Civil Petition No. 488-P of 2023. Perusal of the said Judgment shows that the case of NHA before the Peshawar High Court and the Supreme Court of Pakistan was that the reason that the up-gradation was allowed to bring the posts of the petitioners therein from BPS-14 to BPS-16 was the mistaken view that

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they were required to bring such posts in conformity with the posts of the Federal Government Departments. However, being an independent authority they were not so required hence the withdrawal of the up-gradation upon coming to such realization. However, such stance was not accepted by the Supreme Court and it was held that since the employees were not at fault as such the NHA's argument of mistake is not sustainable particularly as there appears to be no glaring violation of the rules and merely reflects a change of heart in which case the Court is not obligated to correct the mistake by Government Department.

13. The only argument raised on behalf of the Respondents is that the doctrine of *locus poenitentiae* does not come in the way of an illegal order. However, such argument effectively calls for this High Court to review the judgment of the Supreme Court of Pakistan, which it goes without saying, is not possible as the Judgments of the Supreme Court of Pakistan are bindings upon this Court. Moreover, as observed hereinabove the Supreme Court of Pakistan has already held that there was no glaring violation of the rules in up-grading the concerned posts. Therefore, the Up-gradation Order cannot be regarded as an illegal order. The Impugned Order I has been struck down by the Supreme Court of Pakistan and as such cannot be applied to the present Petitioners by NHA.

14. With respect to the claim of back benefits and arrears from 2005 the Petitioners argued that the concerned posts have been upgraded to BPS-16 in all other Government Departments since 2005 and as such the NHA Employees cannot be discriminated against. In this regard, the Petitioners sought implementation of the decision of the Executive Board of NHA in its meeting held on 25.9.2012. Perusal of the relevant portion of such decision shows that the NHA officers/officials requested that they may be allowed payment of arrears of pay and allowances with effect from September, 2005 due to up-gradation as was allowed to all deputationists holding the NHA Audit and Accounts posts and in pursuance of the Supreme Court decision. Thus the Member (Finance) NHA was authorized to notify necessary instructions for implementation of the Board's original decision with effect from 12.9.2005 with back

benefits after consulting exact working of the Supreme Court of Pakistan's judgment and instructions issued by the Finance Division. As is evident from the Impugned Order II the Member (Finance) NHA decided after going through the record/judgment that the policy created by the Federal Government does not apply to NHA being a statutory body and as such back benefits are not applicable to NHA Employees of Finance/Accounts and Audit cadres with effect from 12.9.2005 as demanded.

15. It is an admitted position that NHA is an autonomous body and as such the Rules of the Federal Government are not *ipso facto* applicable thereupon unless adopted. It is a settled position that up-gradation of post is a policy decision of the government, which is a facility that confers monetary benefits to ventilate stagnation. In case of *Muhammad Amjad vs. Director General Quetta Development Authority*, 2022 SCMR 797, the Honourable Supreme Court categorically held that up-gradation cannot be claimed as a matter of right but it is in fact based on a policy decision and further that in order to justify up-gradation, the government requires to establish that the department needs restructuring, reforms or to meet the exigency of service in public interest. In the absence of such pre-conditions up-gradation is not permissible.

16. In the case of *Government of Pakistan and others vs. Jamshed Hussain and others*, 2016 SCMR 442, the Honourable Supreme Court held that:

> *"We have considered the above submissions and with the assistance of learned ASCs, perused the material placed on record, which reveals that* ***a policy decision has been taken by the competent authority with the approval of Federal Government for upgradation of pay scales of different categories of its employees in a conscious manner, looking to the nature of their jobs etc, therefore, such decision cannot be challenged in writ jurisdiction on the purported plea of discrimination.*** *More so, when Article 25 of the Constitution itself provides a provision for such discrimination on the principle of reasonable classification. In the present case, respondents have also been granted upgradation by one step from BS-12 to BS-13 along with many others, who have been also given only one step upgradation in the scales and in many other cases upgradation is allowed by two steps. Thus, such classification/categorization by the competent authority cannot be struck down on the plea of discrimination, at the whims of respondents, who*

> *had approached the Islamabad High Court in this regard. In addition to it,* ***learned ASC for the respondents has also failed to show that*** *due to the impugned action of the appellants any fundamental rights of the respondents have been violated or* ***they have any vested right for such upgradation as per their choice****."* [Emphasis added].

17. As such whether a post is to be up graded or not depends upon facts and circumstances of each case and cannot be claimed as a matter of right. NHA cannot be compelled to up-grade the posts of the Petitioners since 2005 or to give the Petitioners financial benefits arising from such up-gradation simply because the Federal Government made a conscious decision to do so in respect of their employees in similar posts. Therefore, I am convinced that the Petitioners cannot claim up-gradation or arrears from 2005 on the basis of discrimination and that too by comparison with Federal Government Employees. The comparison with deputationists at NHA is also misconceived as there is no evidence that they were given back benefits by NHA as opposed to their parent departments.

18. In view of the foregoing, W.P. Nos. 185 of 2016 and 1329 of 2016 are **allowed** by setting aside the Impugned Order dated 14.1.2016 whereby the Up-gradation Order dated 28.12.2011 was rescinded whereas, W.P. Nos. 4125 of 2015 and 3134 of 2017 are **dismissed** and the Impugned Order dated 5.4.2013 is upheld to the extent of claim of arrears and back benefits.

(SAMAN RAFAT IMTIAZ)
JUDGE

Tanveer Ahmed/*